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Research Briefing | Spain

Why Spain is the crisis' biggest economic loser so far

Economist

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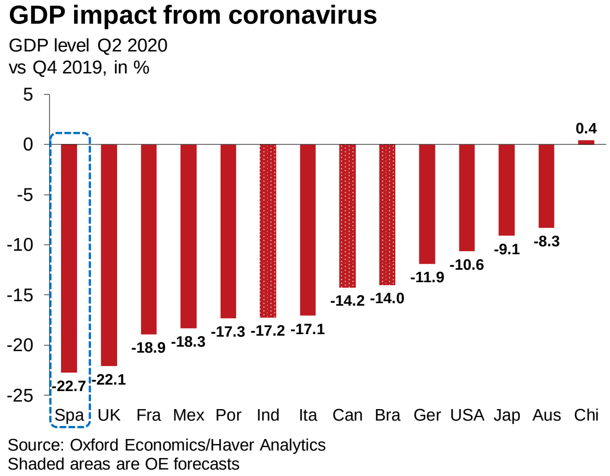
- **We believe a combination of health and economic factors explains why Spain has been so hard hit economically by the pandemic. Its 23% fall in H1 GDP is the largest of all major economies that have reported Q2 data so far.**
- **Given how badly the pandemic struck, Spanish authorities implemented one of the world's most stringent and longest lockdowns. But the country's economic structure is also a key factor for the impact. A major tourism sector, a labour market with high share of temporary contracts, and many small and micro-enterprises all explain why the economic hit has been so devastating.**
- **A limited fiscal response is another reason the impact has been larger in Spain, although the approval of the EU recovery plan should provide a modest boost to medium-term growth. But with most of the recovery still dependent on how the disease evolves, the recent rise in Covid-19 cases and the high reliance on tourism cast a long shadow over short-term prospects.**

The coronavirus recession has caused historically large falls in activity across the world, but the magnitude of those losses still vary greatly. Spain is a prime example. Even within the context of a historically sharp global recession, it stands out. With an accumulated 23% loss in output in 2020's first half, Spain has seen the largest drop in economic activity among the world's major economies that have so far reported Q2 data (**Figure 1**).

This isn't entirely unexpected. As far back as March, we had already warned that the pandemic was likely to hit the European periphery hardest given some of its structural vulnerabilities. However, with a loss in output that widely exceeds even that of its neighbours, it pays to explore why the Spanish economy has suffered an impact of this magnitude.

Figure 1: The Spanish economy was the world's worst performer in H1



The 23% first-half fall in GDP in Spain is the largest among all the major economies that have reported national accounts data.

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An economy particularly vulnerable to the pandemic shock

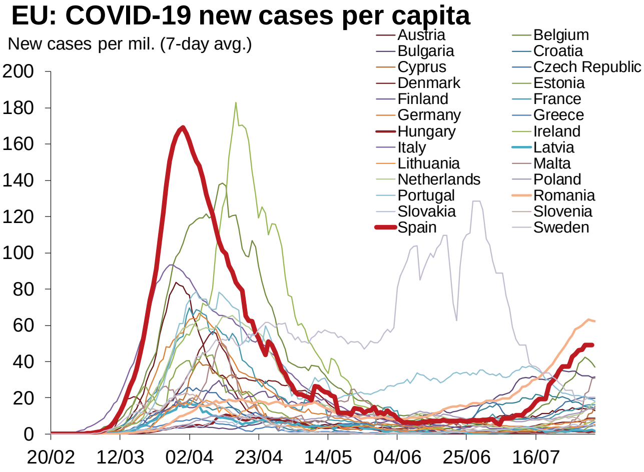
As with most things during the coronavirus recession, it all starts with the health situation. Spain has been one of the countries hit hardest by the pandemic and has fared worse than most of its neighbours under several measures, such as number of cases per capita or excess deaths (**Figure 2**). The pandemic's severity forced authorities to implement one of the strictest and longest lockdowns in the continent, leading to a collapse in activity. However, a stringent lockdown is only part of the story. It explains why the fall in GDP is among the largest in the world but not why it would be significantly more than in other countries that implemented comparable measures, such as Italy or France.

Alternative real-time indicators can shed light on this difference. Data shows that the reduction in mobility in Spain was significantly larger than almost anywhere else, including countries that experienced similar lockdowns. Whether because of virus fears or because the aggregate lockdown indices didn't fully capture the extent of the restrictions, data shows that Spaniards stayed away from work in greater numbers and for a longer time than in any other G-20 economy (**Figure 3**).

The reduction in workplace mobility comes hand-in-hand with one of the most damaging coronavirus vulnerabilities for Spain: its lower capacity for remote work compared with the rest of Europe. According to OECD data, only 30% of jobs in Spain are amenable to remote working, a number that falls further to 20% or below in several regions. This puts Spain in 25th place out of 27 EU countries. And it means the costs of lockdowns in Spain were higher than in most other places because a larger share of activity simply couldn't continue, leading to a bigger loss of output.

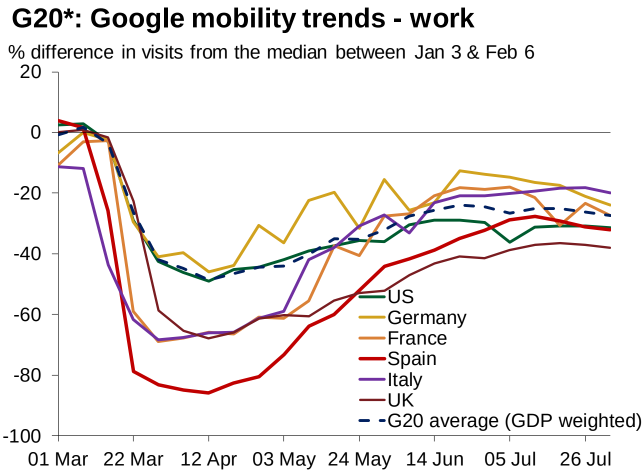
The relative inability of Spanish jobs to be performed remotely results from the comparatively larger share of jobs in industries that require physical presence, such as transport, accommodation, and food services (**Figure 4**). This translated into not only in a larger initial shock during peak quarantines but also as a more pervasive hit to activity as social distancing measures remain in place. Put simply, the Spanish economy is particularly ill-equipped to deal with a shock that forced millions of people to stay home for weeks and that will limit physical contact in daily activities for an extended period.

Figure 2: A bad health situation led to a very stringent lockdown



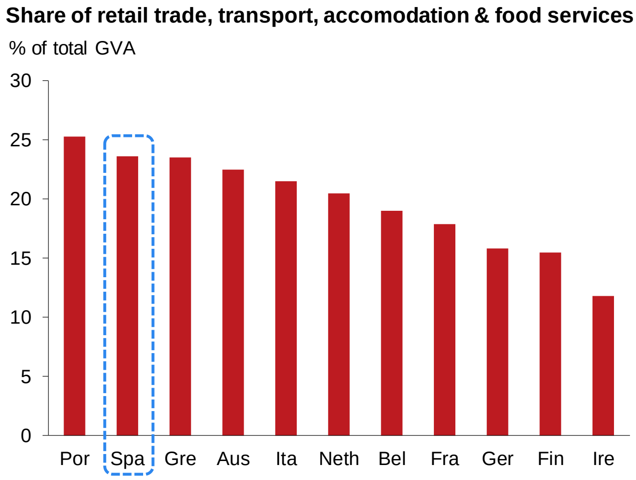
Source: Oxford Economics/OWID/ECDC/Blavatnik School of Government

Figure 3: Mobility reduction in Spain was larger than almost anywhere else



Source: Oxford Economics/Google

Figure 4: Spain's economic structure makes it poorly prepared to switch to remote working



Source : Oxford Economics/Haver Analytics

Why Spain is the crisis' biggest economic loser so far

A detailed analysis of national accounts data confirms this notion. When looking at a comparable economy such as France, we find that most of the difference in performance in Q2 comes from a much larger decline in the trade, transport, and hospitality sectors in Spain.

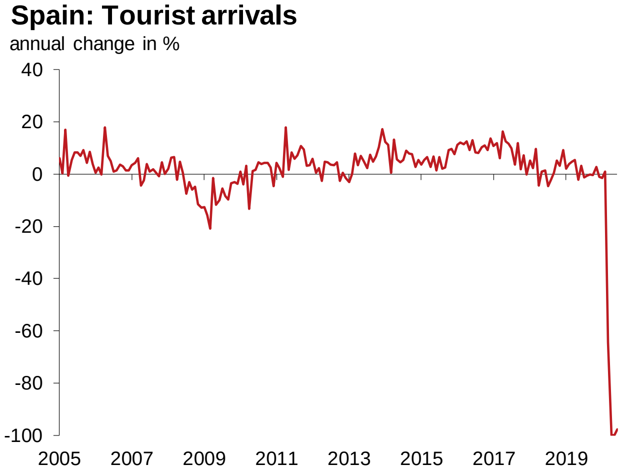
This is particularly relevant in the tourism sector. Although the massive impact the pandemic would have on tourism and travel was obvious from the start, the magnitude of the falls are still staggering. Tourist arrivals fell to a literal zero in April and barely recovered in May and June (**Figure 5**). For Q2 as a whole, arrivals fell 97% over the previous year, while overall spending collapsed 99%, which translates into a €25bn loss for the sector. Although the plunge in tourist arrivals is common across countries, the sector represents around 12% of total GDP and employment in Spain, one of the largest shares among OECD countries.

An oversized tourism sector is one of the reasons that explains why Spain is the country with the highest share of temporary workers in the euro area (**Figure 6**), given the prevalence of such contracts in this highly seasonal industry. Although this has long been an issue for the Spanish that precedes the pandemic, the coronavirus shock has exposed this vulnerability at a massive scale. Within days of declaring the state of emergency in March and imposing nationwide lockdowns, Spain lost nearly a million workers, almost exclusively people under temporary contracts that weren't renewed (**Figure 7**).

This means even with the extraordinary safety net put in place to protect employment via short-term furlough schemes (which at the peak of the crisis covered over 3 million workers), Spain could not avoid an immediate, large hit to employment owing to the structure of its labour market. In turn, this meant the impact on consumer spending in Spain was much greater in Q2 than in most other places. Household spending contracted by 20% in Q2, doubling the falls seen in France or the US. Similarly, although the data for retail sales has shown a strong initial bounce-back, the magnitude of the recovery is still lagging most of its neighbours.

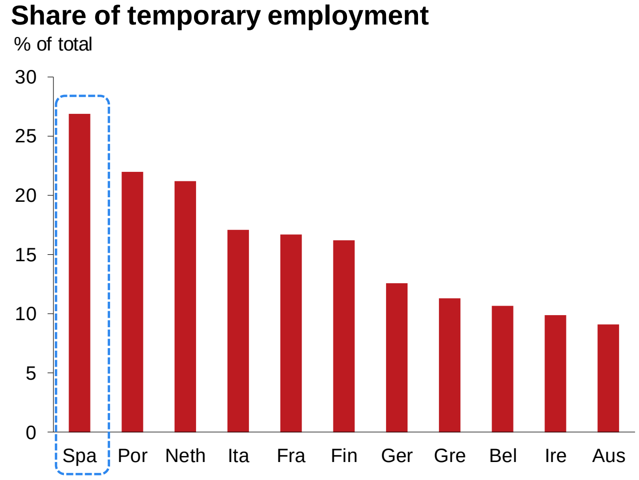
Finally, a third structural weakness that explains some of these issues is the comparatively small size of Spanish firms. This is another longstanding problem that precedes this crisis but has now been fully exposed given the magnitude and nature of the shock.

Figure 5: Tourist arrivals fell to virtually zero during Q2



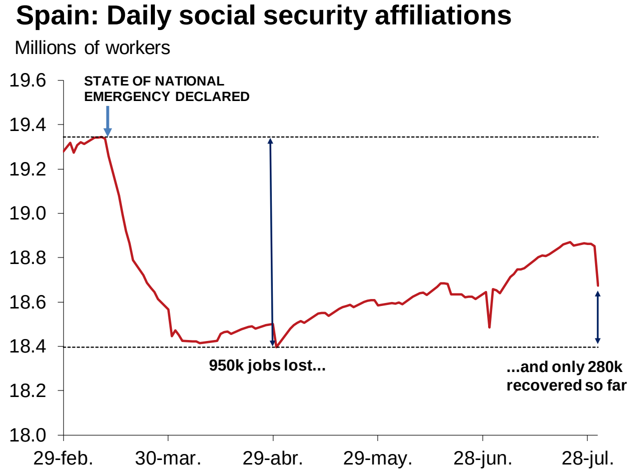
Source: Oxford Economics/Haver Analytics

Figure 6: Spain has the highest prevalence of temporary workers in the eurozone



Source: Oxford Economics/Haver Analytics

Figure 7: Coronavirus caused a massive hit to the labour market



Source: Oxford Economics/Labour ministry

Spain's share of SMEs – small and midsize enterprises – is one of the largest in Europe, with those firms accounting for 72% of Spanish employment, compared to 66% for the EU on average. If we focus on micro-firms (those that employ 10 people or less), the difference is even larger: 41% in Spain versus 29% for the EU (**Figure 8**).

Smaller firms usually have very limited cash buffers and have more difficulties accessing favourable financing, so the pandemic-induced halt in revenues is a death blow for many of them. During March and April alone, 133,000 businesses shut down, and even though 40% of them have now reopened as lockdowns are lifted, the high prevalence of micro-firms in tourism-related activities means the coronavirus shock threatens the long-term survival of a significant share of these firms.

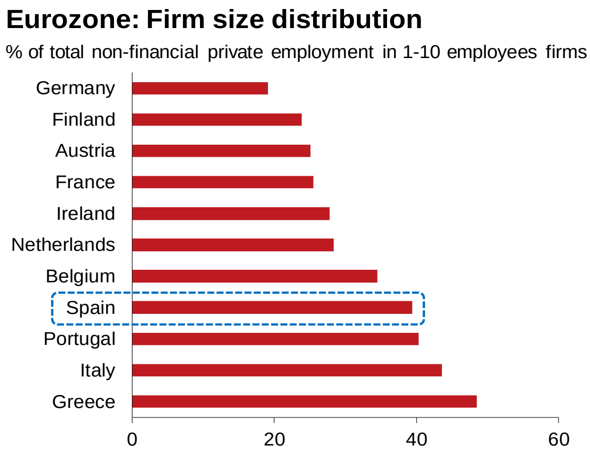
Which takes us to our final point: Spain's policy response. Given the high levels of debt, the size of the fiscal response to the crisis has been relatively small compared to most of Spain's peers (**Figure 9**). In the short term, only a very substantial amount of fiscal support could prevent widespread bankruptcies in the most affected sectors. But even then, the very nature of the crisis and its long-term effects on consumer behaviour means a large number of business won't be financially viable.

Virus threatens path to recovery

Clearly, the path to recovery will be a long one for Spain. Even if we anticipate a historically large gain in GDP in Q3, that won't be nearly enough to offset the declines seen in the first half of the year. By the end of 2020, we estimate the Spanish economy will still be 7% smaller than it was before the crisis (**Figure 10**).

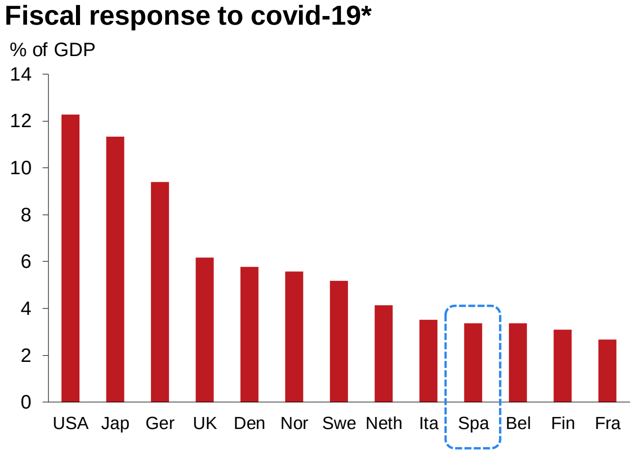
Over the medium term, the recent approval of the [EU's €750bn recovery fund] should provide a meaningful boost to growth prospects, especially on the investment side, which will partially compensate for the weaker fiscal response at the national level. But the impact from the additional fiscal boost won't be felt until at least the second half of next year. In the short term, the pandemic will continue to dominate the economic outlook. With the number of cases rising quickly again and the tourism season badly hit by travel restrictions, real-time indicators are showing the recovery in consumer spending is reverting, putting the expected economic rebound at risk and potentially leading us to downgrade our forecasts for H2 2020.

Figure 8: Spain has a much larger share of SMEs than the European average



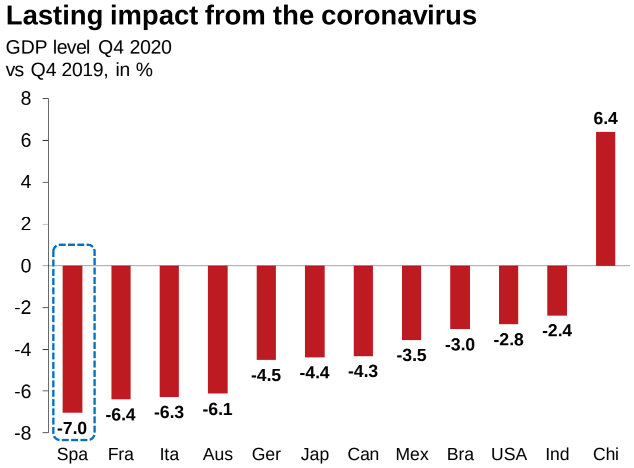
Source: Oxford Economics/Eurostat

Figure 9: Spain's fiscal response is relatively small compared to other countries



Source: Oxford Economics/IMF database of fiscal response to covid-19
* Above the line measures

Figure 10: By year-end, the Spanish economy will still be well below its pre-crisis levels



Source: Oxford Economics/Haver Analytics

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